EDTECH BUSINESS MODEL

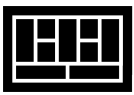


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SUPER GUIDE:
EDTECH BUSINESS MODEL

BY DANIEL PEREIRA



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INTRODUCTION

There is nothing new about EdTech, but many people don't realize how far it has come. Coined from a combination of technology and education, the term "Education Technology" is often used to describe the use of information technology in education. To start to understand what EdTech is, think of anything that uses technology to deliver education directly to individuals in their homes.

Technology is not a new field in the world of education, although many articles online would have us believe it is. In fact, technology has been supporting the delivery of education for a long time, even before the term "EdTech" was coined. Most people don't realize that an integrated approach to teaching and technology was already being used in the classroom setting as early as 1875, with the implementation of chalkboards and mechanical blackboards. Some would say that EdTech started in the 1990s with computer labs.

Few people realized back in the 90s that devices of the future would pack more gigabytes in a smartphone than computers. But, if these new-age devices are compact, and come in pocket-friendly outfits, shouldn't education also take advantage of these developments? It turns out that the advantage applies to education also. EdTech uses technology to deliver the highest quality education possible. And that is one of the reasons why organizations and entrepreneurs are throbbing the gates of venture capitalists to fund the future, or shall we say the present, of 21st-century teaching, EduTech.

The business model for educational apps and organizational learning software developed and sold by EdTech companies has been one of the most luring of any business sector in

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recent decades. It is a lucrative one — for innovators and investors alike —, and it is one of the few industries to survive the COVID-19 pandemic, as well as honor its promising growth. We'll cover more of this below: .

- According to Grand View Research, the global education technology market size was estimated to be valued at USD 89.49 billion in 2020, and it is expected to reach $483.42 billion by 2028, growing at the rate of 19.9%;

- The global digital expenditure in the Education Technology industry would be valued at $341 billion by 2025, according to HolonIQ, a trend that is driving the formation of new ed-tech startups and kids' education app startup ideas. And even then, this overall expenditure amounts to a mere 4.4% of the growth value that the industry would make during the projected time.

Education is changing fast, and there are a lot of opportunities for the right people. Do you now see how EdTech could be a window of opportunity for technology companies? EdTech is a sector where, if one does not take advantage of the opportunities, they could miss out on a lot. Opportunities and risks in this sector must be carefully considered, though.

It is great if you are full of EdTech as well as education startup ideas. However, such ideas have to be approached systematically. You should be wary of the deadly Fear of Missing Out, i.e. FOMO syndrome. If you are searching for an education app development company or freelance educational app developers, you must first categorize your business model according to those of education startups.

Also, before agreeing to the terms and conditions outlined for an EdTech company, entrepreneurs must look into answers to the questions below. The answers also double as the response for investors who are looking to fund an EdTech model. Such

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questions to ponder include:

- Are the e-learning app development services you are considering skilled in new technologies such as AI, ML, and robotics support?
- Do the education app developers have the professional expertise needed to integrate conversational AI and AR/VR features into the app?
- And most importantly, what does the portfolio of the education app development company have to say about them, their expertise, and experience? Take a look at their portfolio to see if their past work is a good reflection of what you expect for the project.

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WHAT IS AN EDTECH BUSINESS MODEL?

Online business opportunities appear ambitious on whiteboards, but the execution stages can become never-ending nightmares. There are several educational app development sub-verticals or ideas that you can consider creating a successful education app. Four of them that EdTech startups are focusing on include: Courseware, mobile learning, curriculum and assessment, and digital assessment.

These sub-verticals that e-learning startups are modeling their educational app development portfolio on are summarized below. You can also read them as the education app ideas which are bound to be successful in the time to come.

Sub-verticals that EdTech startups are modeling their portfolio on:

Service Level Model Variations of EdTech

Educational Hardware	Educational System	Educational Technologies	Educational Threshold
Interactive Whiteboards	Learning Management Systems	Educational Gaming	Kindergarten
Interactive Displays	Learning Content Management Systemss	Educational Analytics	K-12
Interactive Tables	Learning Content Development Systems	Educational Enterprise Resource Planning (ERP)	Higher Education
Interactive Systems	Student Response Systems	Educational Security	
Interactive Printers	Assessment Systems	Educational Dashboard	
Interactive Projectors	Collboration Systems		
	Classrrom Management Systems		
	Document Management Systems		
	Content Creation Systems		

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UPSURGING INTEREST IN EDTECH

Technology has come to stay, and not just to stay. It is affecting and constantly transforming every aspect of our lives and businesses. As such, no one can afford to look away from technology. The Organization for Economic Co-operation and Development (OECD) posits that approximately 1/3 of all jobs in the world, which results in about 1 billion jobs, would be modified by technology in the upcoming decade.

As per the World Economic Forum predictions, around 42% of all core skills deemed essential for jobs are expected to change by 2022. That means you'll have to update your skills quickly or risk losing your job. This fast-forward and upskilling revolution can be delivered feasibly only through technology.

According to the Education Data Initiative, schools in the U.S. spend an average of $12,624 per pupil, which is the fifth-highest amount per pupil among the 37 other developed nations in the Organization for Economic Co-operation and Development (OECD). But, as per reports by Pitchbook's Reach Capital's analysis of data, during the first half of 2021, U.S.-based education technology companies raised over $3.2 billion in investment and financing capital.

But, one might wonder, could all this EdTech valuation be a fluke? What if, coincidently, everything is a hype brewing somewhere thanks to venture capital rumor mills. Well, we can run this evaluation through a confirmation base test.

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THREE WELL-ESTABLISHED EDUCATION STARTUPS

For this experiment, let us choose three well-established education startups that are determinedly building their EdTech app, business models. A measure to assess public demand for their services would be to see how their e-learning startups have played out during the COVID-19 pandemic.

Chegg, Inc.

- Chegg, Inc. is a growing education technology company that provides schools, colleges, and libraries with an array of digital learning solutions. This includes a platform for students to access study tools and homework help, as well as an online textbook rental program;
- During the first quarter of 2020, Chegg recorded $132 million in revenue. This was a time when most businesses were clamoring for government survival aid. This amount does not include a recent investment made on April 13, 2022, when Frank Financial Aid raised $5 million in capital;
- Coupled with the revenues made, by the end of 2020, the Cheggs platform had 6.6 million subscribers.

K12 Inc.

- K12 is an educational management company that aims at promoting online learning as a substitute for classroom training. Through K12, students between kindergarten and the 12th grade can access courses in a wide array of

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subjects, including math and science. The company's vision makes them one of the best educational apps for kids;

- K12's revenue model for its EdTech business for the first quarter of 2020 was $257.2 million. These earnings were slightly higher than those for the same period in 2019, which were $253.3 million;
- Out of all its business units, K12's online public school program garnered $228.3 million;
- Nathaniel Davis, CEO of K12, talked about how users have been interested in registering for the app. He shared how both February and March have been high months for user queries, and was glad that the trend was a testament to how good the app is for students.

2U, Inc.

- 2U stands out from all other business models for education startups as a creator of end-to-end learning channels;
- The Software-as-a-Service (SaaS) education model hosts its B2B partners, which are non-profit academic institutions that offer online degrees. In the first quarter of 2020, earnings for 2U culminated in $175.5 million;
- The 2U SaaS business generated cash flow worth $118.5 million. And of this revenue, GetSmarter (for short-term courses) and Trilogy Education (for boot camps), part of 2U's acquisitions, were responsible for consumer spending worth $57 million;
- 2U's immediate plans include working with Simmons University, a current client, to launch a digital undergraduate program. And the company has also

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launched Studio in the Box, which allows faculty members to create training videos from home during the COVID-19 pandemic.

And so... Observing these EdTech businesses, it is clear that they have continued to thrive despite an unexpected pandemic. However, predicting their future or the future of any EdTech startup would be immature because, even if they apply the successful business models of other startups, there's still a chance they would fail. But, from the current situation, it becomes easy for one to point directions where EdTech development appears most likely to excel and succeed.

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TRENDS AFFECTING THE EDTECH INDUSTRY

Devices are becoming smarter and more efficient, allowing the Internet of Things (IoT) to blanket the world in an interconnectivity web. This web enables big data generation and allows artificial intelligence to identify better rooms for autonomous customer experiences to improve. Such interactions will be made more immersive through Mixed Realities, which will help EdTech improve the learning experience and make schools even more effective for students.

The Coronavirus outbreak has also spurred Blockchain's adoption. And, as a result, the distributed ledger technology could be used for decentralized and secure data management. It is hopeful that those born after 2010 could be the first to taste these trends and their introductory iterations that aim to take EdTech to the next level.

GLOBAL INTERNET PENETRATION

Currently, about 62% of the world population (approximately 4.88 billion people in the world), have internet access. Cybersecurity Ventures predicts that by the end of 2022, the total number of internet users would be 6 billion, And, by that time, the total world population is expected to be at 8 billion people. By projection, in 2030, total internet users would have reached 7.5 billion, which is about 90 percent of the then expected 8.5 billion world population.

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At that time, digital access to educational content would ensure a zero-borders educational experience with B2C distribution channels targeting the global market. Learning material will be available anywhere, in any place, and at any time, and students will be able to study from anywhere using laptops, handheld devices, and other electronic equipment. Online classes will allow students to learn at whatever pace is most comfortable for them. Textbooks can be downloaded for free. Children with disabilities will be able to get the lessons they need in customized ways, and more online business opportunities will present themselves for people with foresight.

DATA-DRIVEN DECISIONS

At the forefront of e-learning are digital textbooks. Companies that offer online learning would keep track of the ways students learn best. For example, visual learners may respond better to video lessons than text-based ones. In addition, students who enjoy online gaming may prefer courses that make use of 3-D technology.

As educators collect and analyze data on how students use video, audio, and text resources, they can make better use of new technologies — such as AI, ML, and Big Data —, to offer a more personalized and tailored learning experience.
Even now, educators are starting to realize that delivering content is only part of the learning equation. Visualization tools are replacing spreadsheets, and predictive analytics are making it possible for faculty to focus more on preparing and teaching lessons.

VIRTUAL REALITY

Virtual and augmented realities are blurring the lines between

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education and real life, making immersive learning a viable means of imparting knowledge. Imagine visiting a science park for an experimental demonstration right inside your room. With a VR- headset, you are virtually transported to the park.

A case in point is the Denmark-based startup, Labster, which builds virtual laboratory simulations for STEM (Science, Technology, Engineering, Math). In 2021, Labster raised US$ 60 million in Series C funding. Another example is Interplay Learning, an online training platform that helps upskill frontline workers in skilled trades and upskilling for on-the-job proficiency. Interplay Learning uses VR in addition to 3D simulations to train people for on-the-job proficiency and, in early 2021, it raised a US $18 million in Series B round.

AUGMENTED REALITY

Due to its enablement on smartphones, Augmented Reality stands a higher chance of being widely adopted within the EdTech market earlier and faster than VR. An ideal example is the BBC Civilizations AR app. Remember also that Pokémon Go was an AR-based experience, and currently, its makers, Niantic Labs, continue to partner with nonprofits to facilitate education with AR.

CONVERSATIONAL AI

Voice-Enabled devices are now regarded as a part of the home and a necessity for several chores. Such devices typify conversational AI as a human assistant and set a pace for its application in the Education industry. A great example is Cognii, an educational app with its conversational AI and critical thinking products for K-12 students as well as corporate professionals.

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ADAPTIVE LEARNING

A learning delivery method, adaptive learning makes use of learning algorithms to provide students with the information they need while taking into consideration the student's previous knowledge. However, some past attempts to convince the higher education sector to embrace their personalized approach to learning have not been successful.

Notwithstanding, progressive steps are being taken. An instance is Quizlet, an AI-based tool that identifies the educational needs of each child through machine learning algorithms. Quizlet then tailors the child's experience towards it. Recently, to show great investor interest, the makers closed its Series C round at a valuation of US$ 1 billion during the COVID-19 pandemic. Other examples — such as Querium, KidSense, and Kidaptive — are also bidding to build a reputation and solidify their places in the market with similar adaptive learning tools.

ROBOTICS

A remarkable instance of how Robotics is also gaining momentum in education management is Roybi, which is a company with its flagship product, the Roybi Robot, and they're helping infants as young as three years old to develop STEM skills. The company uses machine learning to match the cognitive capabilities of the child with pattern recognition. Through the product, Roybi recognizes that learning is not a one size fits all garment and needs to be custom-made. It was featured in TIME magazine as one of the best inventions of 2019. Another tool, Robotify (founded by Dubliner Richard Hartnett and headquartered in San Francisco) is a startup that uses hardware installations in schools to educate students in programming lessons.

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BLOCKCHAIN

Blockchain can modernize inefficient education infrastructure by decentralizing it, and this technology can also help to improve our degree-granting systems. For example, blockchain can reward students who work the hardest and obtain high degrees in their fields. In addition, blockchain will help us to store student records in an immutable manner.

- Blockerts is an open platform that enables users to create and manage their professional identities. The system can be used to issue certificates, verify identity, and exchange information securely between individuals, businesses, and governments. Tomorrow's employers will be able to refer to the platform for fact-checking background information.

- ODEM is a platform that connects students, educators, and industry professionals. Participating parties use Ethereum-based smart contracts to record the specifics of their educational experience. All course data is stored on an immutable ledger, which allows for patterns to emerge over time. Students can earn ODEM tokens by participating in these courses over time. Once they have earned a certain number of tokens, they can “spend” them on other courses for which there is demand. Skill badges are attached to each participant profile — these badges represent levels of expertise acquired during the course of their education.

- Nova Learning Management System developed by Appinventiv, helps teachers to easily upload their courses. On the other hand, the app allows students to enroll and pursue the course easily. Appinventiv provided a solution that brought a positive approach to

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the EdTech sector.

- Nova, developed by Appinventiv, is an easy-to-use Learning Management System for teachers to upload their courses. Nova also allows students to easily sign up for the courses and to pursue them. The EdTech company has provided a solution that has brought a positive approach to the sector.

GAME-BASED LEARNING

Just like immersive learning, game-based learning is a good utilization of technology in education since it involves students in the process. The gamification technique has been in use for over two decades, and its practicality makes it trendy even for today's online learning systems.

The success of game-based learning lies in the mere fact that while learning is always challenging, playing is simple and fun. And so, most educators believe that gamification encompasses a wide range of techniques that can enhance the user experience.

Two key elements in game-based learning include:

- A familiar and engaging environment, so that there is no need to waste time and effort trying to keep the student's attention;
- Combination of instructional knowledge and fun: This sets zero limits to the user's imagination;
- An example is the video game project 'Minecraft', which has won over millions of fans, many of whom are children. The educational tool can be applied in the study of architecture, biology, geography, culture,

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chemistry, English, and physics.

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BUSINESS & TECHNOLOGY TRENDS IN EDTECH

Market changes will impact business and technology as well, so we have compiled a list of trends to watch for in 2022 and onwards.

NEW BUSINESS MODELS

Schools dependent on tuition income have had to cut their budgets and raise less money from students this year. They are simultaneously striving to make their services more appealing online, and find ways to make themselves different from other educational institutions.

Now that educational institutions have to tighten their belts and cut costs, it may be more difficult for them to buy new products and services. But companies that become sellers directly to students, instead of through educators, may find themselves in a better position. Some of these companies offer student-friendly services and engaging online experiences — often with a subscription model that makes the products more affordable.

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NEXT-GENERATION LEARNING EXPERIENCE

By the time of COVID-19, it was already well-known that the design of online classes must focus on students' needs and be learner-centric, rather than based on traditional classroom models. All the major trends in web and mobile learning — smart campus ecosystems, next-generation LMSs, nudge tech, and adaptive learning — were set off by this fundamental discovery.

The need to improve the UX/CX in educational products has increased due to the recent pandemic. This has led to the development of new features that help students become more digitally dexterous and engage with digital content in different ways.

ARTIFICIAL INTELLIGENCE (AI) APPLICATIONS AND DATA ANALYTICS

Although the adoption of AI in education is still a struggle, it is gradually becoming more popular, especially with the rise of applications like adaptive learning paths and intelligent content. The development of data-driven tools that provide insights into student learning is crucial for both educational institutions and students.

SECURITY AND TRUST

In the sudden switch to digital tools, issues were uncovered in how student data is processed, protected, and secured.

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COVID-19 raises new questions regarding accessibility compliance and digital equality in education, thereby complicating this issue. As the new normal sets in, EdTech providers will have to sit down and devise some new solutions that won't only safeguard our privacy, but also ensure the ethical use of these data.

EDUCATION TO EMPLOYMENT

In today's markets, learners are making decisions based more than ever on their employment and financial futures. As a result, educational providers have a greater need than ever for technology infrastructure that supports digital credentialing, career-driven online programs, and cross-lifecycle CRM.

OPTIMIZATION

Migrating to the cloud and enabling self-service user support are both ways to develop digital education solutions that save money while still producing quality educational products.

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ACCELERATED DEMAND FOR A NEW DIGITAL LEARNING ENVIRONMENT

In 2020, rapid advances in digital technology spurred sweeping changes across the educational sector. The COVID-19 pandemic initiated a shift away from traditional in-person teaching methods and toward more learner-centric, digitally-enabled approaches. However, many school districts were unable to fully realize this new change as they needed to act quickly and did not have the time needed to develop optimal solutions. The major shift from in-person to online education delivery resulted in a crash course in teaching and learning remotely using digital tools. Users also had many hurdles to overcome as they learned to use new tools.

The emergence of new end-user behaviors prompted by home-learning will have inevitable implications on the EdTech industry in 2021 — anticipated to be a game-changer in the evolution of learning and education.

Looking ahead, due to the accelerated demand for new digital learning platforms, EdTech companies should consider embracing new business models and reinventing digital experiences that enhance and transform remote learning into quality online education. But, how can education and technology providers future-proof their products and services for the next normal? They will do this by constantly responding

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to the users' demand for educational content that is easily digestible, available on the go, engaging, and addresses their own learning goals.

These EdTech providers should integrate into the wider ecosystem of social platforms, and build robust back offices. They also need to ethically leverage data analytics and machine learning technologies for a better understanding of learner behavior. The end result is using those insights to help educators create inspiring online learning experiences that will help students succeed.

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EDTECH BUSINESS MODELS — HOW EDTECH STARTUPS GENERATE REVENUE

Teachers and schools are consistently looking for new methods to promote learning and support students; technology like EdTech is changing the way we take in information. EdTech startups help us learn faster, stay connected, and improve our world.

It is important to understand the education sector when starting an EdTech company. This will enable you to build a great product and a great business revenue model that will serve your clients' needs well. Here are some of the ways EdTech companies generate revenue:

FREEMIUM OR FREE TRIAL

The freemium pricing model, which involves offering a product for free to consumers with an option to upgrade to a paid version, later on, is one of the most popular models used by EdTech companies. It is highly effective to have a freemium business model — one in which basic features are offered free to students, and teachers. This model encourages people to buy the premium version of your app with better or more features.

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This two-pronged approach can work in both of these ways. You either offer a feature-limited version of the program or offer a free trial to users before they have to pay for the upgraded version. This approach is not going to be favorable in the long run, but it's a good way to get people interested in your product and its features.

Teachers and students might love your offering, but they may not know how to convince the school board to purchase it. Some companies provide classes on how to pitch a product to the school. They'll coach teachers on available funding sources and ways of convincing the school authorities to buy the product.

TOP-DOWN

A traditional approach to selling to schools is to work through district leaders. This is often categorized as a top-down or institutional model. Using this method, you first estimate the market size of your product and then decide how much of that market you want to penetrate.

Once the target market volume of a product is identified, a company's sales/marketing department creates a strategy to reach this potential revenue. To do this, sales may sign contracts with school districts for all or a majority of the schools within their region. The advantage of the top-down model is that, in signing a contract with a school district, the company will have access to many schools at once.

The downside of this, though, is that the process takes a long time to close and there's usually a lot of competition with similar software companies. As far as user agreements and customer service go, districts also expect a lot from EdTech vendors.

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BOTTOM-UP

In this case, the market is first investigated to determine how much the product will sell. After the total amount of sales is determined, the price can be determined to have a significant profit margin. The best way to reach consumers is through schools with free offerings. Families who want to continue usage can pay for access at home. Schools qualify as lead generators that lead to consumer adoption.

While cash burn (the amount of money spent to attract consumers) can be useful when attempting to establish a business's presence in an industry, there must also be an inflow of funds in order to remain financially stable.

This model is effective because teachers will engage students and encourage them to use the product in school, which makes it easier for students to recommend the same to their parents. This is a great strategy since schools are always looking for good products, so teachers will prefer to use them, and these products are offered at no charge. People are thus more likely to try it out via teacher’s recommendations. The downside is that it can be unfair, with students coming from different financial backgrounds.

SPONSORED

Another model that is growing in popularity is one where neither the school nor the parents pay. Instead, a business, such as Coca-Cola or McDonald's, pays to have its brands and logos appear on classroom supplies and in the cafeteria. Businesses hope that children will become loyal consumers when they grow up and go to college. Incorporated corporations may also use it as part of their corporate social responsibility initiatives (CSR).

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When schools are offered a free package of resources from an organization, they will likely take up the offer. This can help the organization to establish brand awareness in the education sector and indirectly increase sales.

EDTECH MARKETPLACE MODEL

To get a better idea of what e-learning marketplaces are, think of them as a kind of digital marketplace that functions as an online store or like a digital library where students will be able to browse and purchase courses. Teachers who sign up for the Udemy platform can post their courses for free for anyone to see, or they can charge a fee and earn money from student purchases. That gives students access to premium courses, and Udemy takes a cut from the proceeds.

AD-SPONSORED MODEL

EdTech entrepreneurs can offer advertisements in their courses to make up for costs. Online courses cost money, and ads pay for the production of online lectures and other third-party products and services. Avoid getting spammy by utilizing advertisements that students will appreciate — like product recommendations or related lecture suggestions.

Duolingo, a language-learning program, turned to advertising to increase its revenues. They now earn over $180 million annually, with potential for higher revenue through subscriptions.

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CHOOSING THE RIGHT REVENUE MODEL FOR YOUR EDTECH BUSINESS

THE CUSTOMERS YOU SERVE

The people you aim your service or product at can differ in terms of how they make their buying decisions. Make sure you know who exactly you're targeting and what their requirements might be. For example, are they consumers or educational institutions? If the latter, are they private or run by a local authority?

WHERE YOUR CUSTOMERS ARE BASED

Different countries and regions have different preferences for how they want to pay for software. Some countries may even charge sales tax on software, which could affect your decision about what type of payment model to use.

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THE PRODUCT OR SERVICE YOU ARE SELLING

Will your product be used on a regular basis, or will it be more of an occasional purchase? This will help you in making the right revenue model choice.

YOUR BUSINESS STAGE AND GROWTH PLANS

If you're focused on acquiring new customers, your business model should reflect that focus by tailoring the pricing structure toward a freemium or pay-as-you-go model. If you're focused instead on retaining existing customers, subscription models may be more effective for your business.

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WHAT ARE THE REQUIREMENTS TO START AN EDTECH?

Once you've chosen a business model, you can get started. What you need to get your business rolling depends on the business model you've chosen.

KNOW YOUR MARKET

The first thing you must do is understand your market. Know what it needs, and how you're going to meet those needs. To really know and understand your market, you need insight into what matters to your customers, what drives their decisions, and how they will perceive and use your product or service.

Entrepreneurs can be at risk of failure if they don't understand the education ecosystem. There are numerous EdTech startups that have succeeded in bringing dramatic changes to the education sector, but there are also many that did not do their homework or ignored industry benchmarks and failed.

Late-stage startups saw enormous growth in 2018 as an investment in them hit a high of $3.4 billion. This is the time for companies to invest in their ideas and join the EdTech boom.

Over the years, quite a few people have formed false perceptions about public schools and the education system

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overall. The perceptions they have of public schools, however, are far from the truth, unless people have worked within them.

STUDY THE SYSTEM

Before you go into business, spend some time studying what you're getting yourself into. This will help you make the most of your product and target your audience precisely, eventually making your startup successful in the long run.

PITCH RIGHT

When you're preparing for a meeting with teachers and administrators, your relationships with them are on the line. Be sure to work hard at building rapport with them online before your meeting, so that, when you meet in person, you don't have to spend time setting a friendly and professional tone.

Administrators have a lot on their plates and may not take the time to explore products thoroughly before purchases and implementations, so it is up to you to bring your ideas and proof of concept to them a few steps ahead of the buying process.

KNOW THE SYSTEM, HIRE A TEACHER

One of the most obvious problems for EdTech startups is a lack of input from teachers and school administrators. This makes it hard to assess where products or features are failing or need improvement.

If you aren't sure how students learn, how will you know how to design your classroom technology? Having an educator on your team is the best way to build your product. Take notes from teachers and use their expertise to validate the product you are

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creating. Promote your product by featuring its educational content, such as research papers and case studies.

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WHY START AN EDTECH STARTUP?

To start an EdTech company because you simply want to make a lot of money is a poor reason for starting such a venture. A successful EdTech company focuses — first and foremost — on the needs and desires of its students.

BETTER THE EDUCATION SYSTEM

In order to improve the education system, startups need to make the educational system more adaptable, to introduce advanced technology, and help the economy succeed by providing a product or service that is useful for students and for other companies.

In order to build a great EdTech startup, you need a team of people whose skills match your vision and who are willing to do the work to make it happen. Your team will give your startup quality. Networking is important — you never know what opportunities you could discover by interacting with fellow entrepreneurs in a networking group. And if you're proactive, you might get a lot of funding for your company.

BUDGETING

It's important to make profits and provide superior products and services for your company, but if you want your company to be around in the future, it's crucial you also focus on making sure

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that students perform well and get a high-quality education.

STRATEGIZING ABOUT MONEY MANAGEMENT

Whether you have funding or are bootstrapping, establish a strategy for managing your money from day one. When you start a new business, it's important to create a budget right away. Creating a realistic budget that accounts for all of your expenses is difficult, especially if you have never done this before. However, maintaining a proper budget will help you to avoid financial problems later on.

PROJECTING PROFITS AND BASING THEM ON REALISTIC TIMELINES

When you run a business, you have to be realistic about profits. Decide how much capital you need to raise. It's important to know your financial statements inside and out so that you make a good impression on your investors. And when talking with potential clients, be upfront about your pricing. This builds trust and makes people more willing to work with you.

Here are some steps to take: Write down all your departments, and then list each one's budget under it. Your next step will be to keep an eye on revenue vs. expenses and return on investments. The first thing you should do is pay attention to sales and marketing. They are the ones who generate revenue for your company.

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ALWAYS BUILD WORST-CASE SCENARIO BUDGETS

If you build worst-case scenario budgets, you will always be prepared for the unexpected. Building worst-case scenario budgets can help you make better decisions because you are more aware of what could happen.

Budgets are created to help determine how much money a company can spend during a period of time. The amount spent is called the burn rate; the time the company has to spend that money is called the cash runway. Many investors like these two concepts because they are easy to understand, and they provide a helpful framework for examining a company's financial health.

Investors prefer to see a company with a low burn rate, at least until it reaches profitability. Achieving profitability requires that the company have a cash runway long enough to weather both expected and unexpected challenges that can destroy a company.

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KEY POINTS TO CONSIDER BEFORE OFFERING EDTECH SOLUTIONS

Creating an educational application or software can be challenging, given that there is no singular approach for evaluating your platform architecture. You should take into account a few things before designing a new educational program.

NOT AFFORDABLE FOR EVERY INSTITUTION

As the market for educational technology keeps growing and competition in the industry gets stiffer, it's crucial to offer your customers diverse options for incorporating technology into their classrooms. The quality of the content is important, but the manner in which it is delivered has a bearing on how successful it will be.

If you offer solutions that help educational institutions streamline their processes, then your solutions should fulfill all of their requirements, so they don't feel the need to invest in other solutions. In the end, you should aim for your technology solutions to provide a return on the school's investment.

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PRIORITY TOWARDS DATA SECURITY

The GDPR guidelines have made it crucial for tech companies to ensure data protection. As technology is implemented, this data security has become even more crucial in the EdTech sector. So EdTech companies must enact strong security measures to ensure users' data privacy.

NOT EASILY ADAPTABLE

When it comes to embracing innovations and changes, students are often more adaptable than their teachers. This presents a challenge for educators as they try to remain open-minded about new teaching tools and methods of gathering data on student progress. Educators often prefer traditional methods like whiteboards and textbooks over the latest technologies. This can be a challenge for EdTech providers who must deliver solutions that are user-friendly.

TECHNOLOGY IS CONSIDERED A TABOO IN CLASSROOMS

While many teachers encourage the use of electronic devices in the classroom, there are also some who discourage students from using them because they fear such electronic gadgets might be abused.

For this reason, we suggest that the future of students and educators can be threatened, though we cannot predict the full extent of this problem. Students and educators both need to be careful about what they trust online because it can be difficult to tell the difference between reliable information and

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unreliable information. If students relied on all information found online, they would lack certain qualifications and education. As a whole, students need to realize that all information they find online is not necessarily trustworthy.

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STEPS ON HOW TO START AN EDTECH STARTUP

1. EXPLORE THE EDTECH MARKET: YOUR NICHE IS MIGHT BE THE MOST PROBLEMATIC CUSTOMERS

Before you begin creating a new tool or product, it is important to study the market that you are targeting. Look into whom the major players in that market are, as well as any competitors. Once you have researched the market, you should develop a tool or product that provides a unique solution to a niche problem. AI-based algorithms, ML for swift decision-making, immersive learning, and multi-layer management tools, to name a few, are all good options to consider when designing a product or service.

2. COME WITH THE TIME-RELEVANT BUSINESS STRATEGY

With a focus on market demand and company value rather than fundraising, Articulate Inc. attracted over $1.5 billion in 20 years, showing that a successful business model and value proposition are the core of a company strategy. Business model

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and value proposition are two important things that you should take into consideration when defining your business strategy.

Entrepreneurs frequently shift their business models and monetization channels to respond to market changes. To succeed, they must be nimble, prepared to adapt to new circumstances, and willing to adopt a variety of approaches.

3. INVALUABLE TECH RESOURCES: FIND YOUR DEVELOPMENT PARTNER

It is crucial to be surrounded by like-minded people, technological partners, or education specialists while implementing EdTech solutions. The team should collaborate and understand each other's vision so that faster and more qualitative product delivery is ensured. A partner or vendor should possess EdTech expertise, be ready to get started, be familiar with a startup pace, have a mastery of the modern tech stack, and have seniority-leveled staff in their company.

4. THINK BIG, START SMALL: PROGRESS OVER PERFECTION WITH AN MVP

Starting a business is not easy. Founding teams need to consider multiple factors before making their first prototype, as they don't have much information about the market. One way to test a business idea is by creating a minimum viable product (MVP).

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You can build a prototype, launch it to get feedback from early customers, and make adjustments based on their responses. Given the uncertainties of launching a startup, it's better to iterate your business ideas by talking to customers and seeing what works, than to try something great with the hope that other people will love it.

Starting a new venture is all about learning from mistakes, so don't overthink and jump into the water before you test whether your tech business idea is really feasible.

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HOW TO CREATE A SUCCESSFUL EDTECH STARTUP BUSINESS MODEL?

EdTech products help educators, corporate trainers, and other professionals upgrade their teaching, learning, and training by providing tools that improve communication, collaboration, and productivity. Here are a few steps to follow to start your own successful EdTech business.

HAVE A CLEAR UNDERSTANDING OF YOUR USER BASE

Be aware that it is the parents or school authorities and organizations, not the kids/students or employees, who will decide if the product is appropriate.

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UNDERSTAND THE CURRENT ISSUES OR LOOPHOLES

One very important thing to do when you're thinking of creating a new product or service is to get feedback from your customers. You have to ask them what they need and what features they would consider most useful for them. This will help you develop the best possible solution for their needs.

BUILD AN MVP

In order to avoid making a major mistake when launching a full-fledged application, you should build a minimum viable product (MVP) during the development stage. Your MVP will include the most important features of your offering and your unique selling proposition (USP). You can then share the product with prospective clients to see if they will be interested in it, and you can use their feedback to further develop the product and make changes.

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STEPS TO CREATE A SUCCESSFUL MVP

IDENTIFY THE TARGET AUDIENCE

Students are often the target of some EdTech solutions, while teachers are the recipients of others. The former offers fun and easy-to-use tools, while the latter caters to the needs of educators, such as lesson planning and digital content management. Be sure to identify your target audience before you start planning your solution. Then, you can begin to develop an appropriate strategy based on their needs.

UNDERSTAND THEIR REQUIREMENTS

Although you may have spent years in the classroom, you can still be unfamiliar with teachers' and students' needs for EdTech products. To ensure that your EdTech product is the best it can be, conduct your research. To determine what your target clients' concerns and difficulties are with traditional educational systems, you can hire a research and analyst team, or you can ask your target clients. You must also build client personas to know exactly what your end users are looking for in an EdTech product.

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DEVELOP AN MVP

To test your app idea, you can create an initial version of it — an MVP. But to know if your concept is truly fantastic, the application needs to be available in the market. The MVP should therefore be able to solve all the issues your product intends to address.

MVP is a technique for developing and testing the viability of a product idea. MVP involves creating a low-cost version of your product/app in order to test consumer interest prior to sinking major resources into the project. Most people don't realize how much they've learned about a product idea until they've developed the Minimum Viable Product.

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HOW TO BUILD AN EDUCATIONAL APP?

EDTECH MARKET STATISTICAL ANALYSIS

Taking the time to consider what makes your search for an EdTech application unique right now can be incredibly helpful. To stand out from the crowd, you have to figure out what makes your idea different from the rest. Ask yourself these three questions:

- Where do you need to make improvements in your business?
- In what ways can an education application assist you in this?
- In what ways can overall customer satisfaction be built?

When creating a new product or app, it's important to have the right team for the job. This will help your project from start to finish and get you the results you're looking for. It starts with having a great Project Manager who can bring everything together. From there, you'll need a Business Analyst to make sure the idea is feasible and that it meets customer demands. Every team member, starting with the project manager, business analyst, manual QA, Node.js developer, and DevOps should be carefully considered.

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HOW GOOD IS YOUR CONTENT?

When creating content for an audience, don't tire your clients with dense content. Making educational videos is a great way to teach and lead learners into new ways of thinking. Reward your students when they do the work well. Learning applications can be made into games that are fun ways of gaining knowledge. This is especially important when creating instructional applications for kids because it's the best way to send quality information and have it be accepted.

UI/UX DESIGN FOR EDTECH

When designing an EdTech app, consider the user's first impression. App users will only access your app if it is well-designed, appealing to look at, and easy to use. Make the graphics bright, use an interesting sound and make sure that your customers will find what they are looking for easily. The app should be flexible enough to meet the needs of all customers.

TESTING AN EDUCATIONAL APP

Once you have completed wireframes for your app and added some test cases to those wireframes, it’s time to test your app’s flow and user experience. You should do this before polishing out your app. By testing your apps, you'll spot weak points, which will help you improve the UX for those points.

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WHY INVESTING IN EDUCATIONAL APPS

When an Entrepreneur is considering spending money on EdTech, they may feel understandably hesitant. Having researched the subject, there is reason to believe that EdTech can be very lucrative for entrepreneurs, as well as for investors who back the entrepreneurs. For help with pitching your idea to investors, here is some useful information:

- **High Demand:** The high demand for and popularity of digital learning tools are revealed in statistics indicating that 64% of schoolchildren in the United States use these tools on a daily basis;
- Corporations are turning increasingly to e-learning apps to educate their staff. As a provider of e-learning apps aimed at corporate customers, you'll find this niche attractive because corporations can be counted on to spend a large amount of money on training their employees;
- The availability of public grants is a key factor in overcoming IT budget issues for EdTech startups. A CoSN study from last year revealed that 43% of respondents relied on grants to pursue innovation in technology in the school system;
- The monetization models for EDTech startups have already been tested and trusted, meaning that you do not have to test different irrelevant models while trying

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to find the one that works for you. Some of their monetization systems include paid content, lessons, programs, and in-app purchases;

- Educational technology can be used by a wide audience — from small children to teachers to office workers.

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MUST-HAVE FEATURES FOR YOUR EDUCATION APP

Registration: All users should be able to register for your application. In order to protect the privacy of users, a unique identifier should be required for all new accounts. This makes it easy to establish their identity;

Home Screen: The Home screen is a quick-access area for the most commonly used parts of the application. Students may be able to view upcoming and past classes, as well as some statistics about previous lessons or their current course progress;

Profile Screen: The app should have a section where users can provide or view basic personal information, they may also be able to view lists of classes they have scheduled and classes they have completed;

Payment/Billing Section: If you want your app to allow users to purchase lessons, courses, or other content, don't forget to include the settings and history related to the payment process;

Invitation Section: When developing an app, be sure to consider the user's ability to share it with others. Make it simple, interesting, and easy for users to share your product with others;

Lesson Cancellation: One of the features you should include when creating an education app is a "cancel lesson" option. It

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should be easy for users to remove lessons they're not interested in;

Scheduling Classes: For EdTech apps that are used for scheduling classes, students must be able to choose from the classes offered by teachers and instructors;

Notifications: Let your users know about important programs or lesson events with push notifications. Being spammy will ruin their impression of your app, so work thoughtfully;

Chat Room and/or Customer Support: To make sure that your users can get in touch with you when they need help, you should give them notifications from the chat section as a way to reach out directly to them. You can also develop a chat room or community for students and/or their instructors and teachers;

Stats: All users should have access to a few basic statistics in the app, so they can see how far they have progressed in a course or class, what they still need to do, etc.;

Reviews and Feedback: You could make the app more useful by having a feedback form or a simple 5-star review system at the end of each lesson or course.

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WHAT IS THE COST OF DEVELOPING AN EDTECH BUSINESS APP?

Measuring the true cost of developing an educational app is challenging due to a variety of factors, including **the intricacies of the platform and the operating system** (if you want to develop applications for iOS and Android platforms, be prepared to pay twice as much, since different proprietary programming languages are required), **functionality, quality assurance, design, and the time required for the development.**

Development of a basic education app can cost anywhere from $17,000 to $30,000+, depending on which programming firm you choose. This price isn't final or stable, but varies depending on the number of hours it takes to build.

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HOW TO MONETIZE YOUR EDTECH APP

There are several methods of EdTech app monetization, however, the four main monetization strategies include freemium, subscriptions, advertisements, and marketplace.

Under **freemium**, users have access to free sections of the app, but to access other sections, they have to pay either via subscriptions or one-time payments. Freemiums can also be offered via time-limited free trials.

Under **subscriptions**, users pay a weekly, monthly, or yearly fee to have access to the EdTech app.

In the **advertisement** strategy, adverts are placed in the app as a medium of revenue generation, these apps can be of external products, however, they can be in-app adverts of other courses and lessons. Oftentimes, apps that use advertisements as their revenue sources also include an option of ad removal through subscriptions.

Udemy is an example of an EdTech app that uses the **marketplace** approach. Here, users are able to buy courses offered by tutors for a fixed amount. The app serves as a marketplace that connects sellers to buyers.

Other methods of EdTech app monetization include the **B2B/B2C sales** model, **institutional** approach, **consumer** approach, and the **partnership** model.

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Under the **institutional approach**, school authorities are the target users of the EdTtech app, the **consumer approach** also takes this route, however, the institutions are no longer the target users, but serve as lead generation channels for the EdTech whose main target is the parents of students that already use their products in school. In essence, the usage of the app in school is free, while parents have to pay for home usage.

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GLOBAL E-LEARNING MARKET

A deep understanding of the market is necessary for the integration of technology and education. When building your EdTech product, you should hire a business analyst to conduct research on the local and global market of the industry and the monetization strategies that will suit your business model.

Talking about some general trends of the EdTech market, the 2020/2021 lockdown increased the demand for e-learning platforms, driving the market to explode in just a few months. By the end of 2020, the global online e-learning market value reached a height of approximately $250 billion and is expected to grow at a CAGR of 36.3% from 2019 to 2026.

There are over 200,000 EdTech apps just on Apple's App Store alone. So, if you're looking to create your own, you can use those that are already available on the App Store and learn from what they do right, as well as what they do wrong, as well as calculating the market viability of your EdTech app.

Currently, EdTech market growth can be attributed to three major factors, including:

- Increasing demand for and usage of mobile applications and social media;
- Technological advancements are gaining momentum;
- Virtual & augmented reality applications will increase

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relentlessly in the coming years.

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WHERE TO TAKE FUNDING FOR YOUR EDTECH STARTUP?

As an EdTech entrepreneur, one thing to note is that more people are hungry for accessible and affordable education. By deliberating to launch a viable EdTech startup, whether a digital hub or a MOOC, you might be doing a favor to millions of families. For instance, with a website such as Udemy, you are providing a less expensive offering combined with greater accessibility than a traditional learning institution. And by going digital, you are attracting the target audience with easy distribution of educational materials as well as affordable courses.

The other thing is that investors love EdTech. For example, Leap, a US-Indian two-year-old EdTech startup focused on helping students with abroad education issues, raised $75 million in total in 2021 in Series B and C. Also, among over 800 unicorn companies in the world, 31 are from the EdTech sector with a combined valuation of $91 billion. The numbers show that this is the best time for your undertaking.

When looking for funding for your EdTech startup, here are places to seriously consider:

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ANGEL INVESTORS

Seeing them as a post-pandemic global catalyst for e-learning solutions, angel investors became actively involved in funding EdTech startups. And when investors became interested in funding education technology companies, startups in that industry saw a rise in interest as well. One way to connect with investors is to meet them in person and pitch your concept directly, or you can reach out on Angel Investment Network, Gust, AngelList, or U.S. Angels Investors.

VENTURE CAPITALISTS (VCS)

In 2020, a global EdTech venture capital was worth about $16.1 billion, according to an analysis by Outlier Ventures and published on Bloomberg. Venture capitalist investors and firms are interested in growing unicorns — startups with a valuation of over $1 billion — so they invest large amounts of money in promising startups to get enormous returns on their investment.

The average unicorn is worth $5 billion only five years after its founding. Along with (and apart from) money, most VCs offer mentorship and introductions to their networks to help you grow your business, which is also valuable for your future potential. You will also give them a share in your company and a voice of influence in key decisions. Some high-profile EdTech backers include Rethink Education, Owl Ventures, Reach Capital, and GSV Capital.

CROWDFUNDING

In the tech world, crowdfunding is a popular way to get your first money funding to create an EdTech company. Here, different people make small contributions, so you can kickstart

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your product. However, just like all investors, these people expect a feasible return on their investment once the product or service is live. Unlike with investors, crowdfunded projects tend to appeal by offering users control over the business.

Crowdfunding is popular because it's more intimate (and less demanding). EdTech companies that want to use crowdfunding can post information about themselves on websites such as Indiegogo, Kickstarter, and SeedInvest Technology, and then, wait for people to donate to their cause.

BOOTSTRAPPING

If you want to use your money as the basis for launching a tech venture, you might want to consider bootstrapping. The process of starting with little or nothing is called bootstrapping.

Articulate is an EdTech unicorn that bootstrapped on its own before attracting venture capital funding. Using only your own resources, you can take total control over your business and decide how it will operate. There are not many entrepreneurs who are self-made — only a few entrepreneurs rely on individual capital because most are concerned with accessing venture funding in booming times.

CORPORATE AND GOVERNMENT GRANTS

Besides the very well-known investors that have come to dominate the conversation, governments and corporations put education in the limelight.

There are multiple channels out there looking for opportunities

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to invest in meaningful educational initiatives. It's been our experience that many of these corporations are much more willing to financially support things that they consider to be innovative and exciting than they are to provide funding for "business as usual" initiatives.

With that in mind, Candid, GrantWatch, and GetEdFunding created a catalog of databases of corporate grant funds, which lists the various organizations and programs in both the public and private sectors which currently offer grant funding for ed-tech innovation. You are free to apply for grant funding from such high-profile programs. As an example, Central Square Foundation currently supports Khan Academy's and Nalanda Project's efforts in developing innovative products aimed at students. Where there is a will, there is a way.

ACCELERATORS AND INCUBATORS

LearnLaunch, BoomStartup, and the NYU Steinhardt EdTech Accelerator are intensive mentorship programs for startups in the educational technology space. The program provides up to $170K in funding and an opportunity to take a small percentage of equity in your new company. You'll build your business and make valuable contacts during your three-month residency, and you are eligible to apply for up to $170,000 in funding. Mentor support and intensive coaching from industry experts will immerse you into a business development atmosphere as you reach your company's goals professionally and swiftly.

For the Steinhardt accelerator, you will enter with a working prototype of your product or a functional minimum viable product and a team of three founders or fewer. The program culminates with a demo day, an event that brings together all the top investors in New York City.

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WHY KNO, SCHOOLGENNIE, TUTORSPREE, AND OTHER EDTECH STARTUPS FAILED

When startups fail, it's usually for one of these reasons, according to CB Insight: Being in the wrong market, not having enough capital for research and development, wrong market choice, legal complexities, a flood of competitors, and faulty business models. In addition, there are a host of internal challenges that can hinder startup success as well, including unrest, burnout, and disagreements among team members and investors.

Even if you have an amazing idea and clearly understand how to create an EdTech startup, it would be wise to check the following cases of failures of EdTech startups before proceeding with your plans.

KNO

Kno was a startup that kicked off in 2009 and crashed in 2013. The EdTech was focused on delivering mobile learning hardware and double paneled e-textbooks. However, with the emergence of the iPad, Kno started to decline. Even the introduction of digital textbooks couldn't help them stand. And when Apple came into the educational sector with textbooks, Kno was nowhere to be found. Their major failure was competition and an inability to read digital trends.

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SCHOOLGENNIE

In 2013, SchoolGennie was instrumental in introducing the early reading program for Indian schools. The aim was to help students make better decisions in school. However, due to a lack of industry mentors and market experience, they were not able to test their product-market fit. And, as a result, they made improper budget distribution, stumbled over a few steps, and failed in 2014.

TUTORSPREE

Tutorspree was conceived in 2010 as an algorithm-based platform for students needing tutors. However, high competition, ignorance, and seasonal market fluctuations necessitated its end in 2013.

TREADMILL

Treadmill ran for a long time, from 2010 to 2014, but failed to stand as a timeless business model due to the absence of market demand. The product was a mobile app for reading, it allowed users to share highlighted extracts from e-books and authors. Soon as it changed from a social reading app to a book subscription model, it was rendered unviable.

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EDTECH COMPANIES AND THEIR BUSINESS MODELS

DUOLINGO

Duolingo is a language-learning EdTech platform that makes it fun and easy to learn new languages. Duolingo's app, which teaches its users foreign languages, is primarily supported by advertising. However, the company also offers subscription plans for those who want a more ad-free experience and special features.

KHAN ACADEMY

Khan Academy is a nonprofit organization whose mission is to provide free educational content to anyone, anywhere in the world. This free educational content comes from sponsors of the organization, who pay so that it can keep developing new content for its millions of users across the globe.

MASTERCLASS

MasterClass, currently valued at about $2.75 billion, strives to make high-quality education affordable for everybody. This goal is achieved by bringing together talented instructors and offering them a platform where they can share their knowledge with the world. A $180 annual membership fee gives members access to all existing courses and new releases.

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UDACITY

Udacity offers freely available online courses, and also partners with companies and universities to offer students supervised, hands-on learning through a series of nano degree programs. Enrollees either pay a fee for each course they take or pay an annual fee for access to a bundle of courses.

UDEMY

Udemy is an e-learning platform that offers a marketplace of digital courses. They sell all of their courses through the general marketplace, but they also provide an enterprise platform for businesses to set up their own branded Udemy course. This means there are two types of instructors: 1) Those on the general marketplace, who sell their courses directly to consumers, and 2) Enterprise instructors, who create branded courses for busines

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CONCLUSION

Global education tech is growing faster and faster. That growth has attracted a lot of venture capital, which means there are many investments to look forward to in the future. Venture capitalists are looking at the rapid growth of EdTech in the U.S., China, and India and putting money into the companies that will thrive most in this field.

Based on the research of many Global EdTech Unicorns, we conclude that online learning has come a long way since it was first conceived. While some EdTech startups have risen and others have failed, the ones that are still around are using emerging technologies to expand the boundaries of online learning.

There are many reasons that startups fail, and it's not just in the EdTech sector. One reason startups fail is that they create hype and overpromise in the absence of reliable data. Quality education should be easily accessible to everyone, especially to students who have the hardest time affording it.

By identifying these needs and providing technological solutions to them, BYJU's, Udemy, Coursera, and Udacity — some of the most valuable education companies in the world — have been successful. Other education software development companies can also find success by working together to create apps that can also be used on any smartphone or tablet, work in any language, and can be accessed whenever the learner needs them.

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